

Observation No. 2: A high-quality portfolio with a very long holding period delivers the highest return with the lowest risk

The principle of ‘risk-return trade-off’ says that ‘potential return rises with an increase in risk’, i.e. low levels of uncertainty or risk are associated with low potential returns, whereas high levels of uncertainty or risk are associated with high potential returns. While this principle holds true as an investor chooses between equities as an asset class over, say, government bonds, it is not necessarily true when an investor is seeking to optimize performance *within* an asset class such as equities. To be specific, it is possible—and desirable—to increase the return from an equity portfolio whilst reducing the risk associated with such a portfolio.

The exhibit below compares the volatility of returns for each holding period of the CCP (as measured by standard deviation) and shows that the longer one holds a Coffee Can Portfolio, the lower the volatility of returns.